

FORM TP 2010023



TEST CODE **01239020**

JANUARY 2010

CARIBBEAN EXAMINATIONS COUNCIL

**SECONDARY EDUCATION CERTIFICATE
EXAMINATION**

PRINCIPLES OF ACCOUNTS

Paper 02 – General Proficiency

3 hours

07 JANUARY 2010 (a.m.)

0023

1. Answer ALL questions in Section I, and TWO questions from Section II.
2. Begin EACH answer on a separate page.
3. Keep ALL parts of EACH answer together.
4. Silent electronic calculators may be used, but ALL necessary workings should be clearly shown.
5. Each question is worth 20 marks.

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01239020/JANUARY/F 2010

SECTION I

Answer all THREE questions in this section.

1. The following balances were taken from the books of Woodruffe Enterprise, a small proprietor, on April 30, 2009.

	\$
Motor vehicles	102 000
Bad debts	10 500
Return inwards	3 600
Commission received	6 600
Cash on hand	41 100
Return outwards	4 500
Purchases	174 000
Sales	360 000
Bank overdraft	45 000
Carriage inwards	8 400
Carriage outwards	8 700
Advertising expenses	10 000
Provision for bad debts	15 000
Debtors	75 000
Creditors	144 000
Equipment	140 000
Salaries	120 000
Long term loans	66 000
Opening stock	34 500
Miscellaneous expenses	54 000

- (a) Prepare the trial balance for Woodruffe Enterprise. **The amount for capital must be included.** (14 marks)
- (b) The following entries appeared in the Sales Day Book of Woodruffe Enterprise for the month of April.

Sales Day Book

Date	Details	Invoice number	Amount (\$)
April 1	V. Lucky	2691/7	2 000
April 5	M. Davis	2692/4	4 500
April 11	M. Davis	2694/6	7 200
April 29	V. Lucky	2695/2	6 450

Post the entries from the Sales Day Book into the appropriate ledgers. (6 marks)

Total 20 marks

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2. The following is a list of transactions for Clouden, a sole trader.

2009

May 1	Balances brought forward, Cash \$2 530; Bank \$15 600.
May 3	Paid wages by cheque \$6 300.
May 5	Received a loan of \$10 000 by cheque from the Big Development Bank.
May 8	Cash Sales to T. Richards amounted to \$465.
May 10	Paid M. Duff account in full by cheque. The outstanding amount was \$5 000 before taking 5% cash discount.
May 13	Paid electricity by cash \$765.
May 17	The following paid their accounts: L. Joseph \$4 500 ; V. Thola \$2 560. Each deducted 5% cash discount and paid the difference by cheque.
May 22	Transferred \$500 from cash to bank.
May 26	Paid Quashie \$2 940 by cheque having deducted 2% cash discount.
May 29	Mr. Clouden bought a car for his personal use, at a cost of \$25 000 paying by cheque.
May 30	Received cash settlement of \$200 from Magna Insurance Company.

- (a) (i) Write up and balance Clouden's THREE column cash book. **(12 marks)**
- (ii) Indicate what the closing balance on the Bank Account signifies. **(1 mark)**
- (b) In June 2009, Mr. Clouden made the following credit purchases from three suppliers who each offered a 10% trade discount and a 3% cash discount if the account is paid within one month.

HARRIS & SONS LTD

June 5	6 bags of rice @ \$430 each 4 cases of milk @ \$265 each 6 bottles of oil @ \$15 each
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L. J. ENTERPRISES

June 11	2 bags salt @ \$60 each 3 bags onions @ \$120 each
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A. HARDEN

June 26	5 cases soda @ \$42 each 3 cases orange juice @ \$75 each 3 cases ketchup @ \$135 each
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- (i) Record the above invoices received by Mr. Clouden in the appropriate Day Book showing correct net amounts owed. **(6 marks)**
- (ii) If Mr. Clouden pays L. J. Enterprises within the month, what would be the amount of his cash discount? **(1 mark)**

Total 20 marks

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3. The trial balance of Beck Hammond showed that the credit totals were greater than the debit totals by \$2 570. Mr. Hammond draws up his Profit and Loss Account which shows a Net Profit of \$15 750. He later discovers the following errors.

1. A purchase of furniture for \$1 500 cash had been debited to the Purchases Account.
 2. A payment of \$2 000 by cheque had been made by customer Ronal Dinho whose account was correctly credited but the amount was entered in the Bank Account as \$200.
 3. A discount allowed to Fergie Alexander of \$256 was debited to the Discount Allowed Account as \$236.
 4. Goods with a value of \$3 700 sold to Russell Smith had been debited to Dwight Smith's Account.
 5. A cheque for \$375 drawn on behalf of Terry Henry had been credited to his account.
- (a) (i) Draw up the Suspense Account and correct the errors that have caused the difference in Beck Hammond's Trial Balance. **(5 marks)**
- (ii) Draft the journal entries necessary to correct the errors which do not affect the Suspense Account. **(5 marks)**
- (iii) Draw up a statement to show the revised net profit. **(3 marks)**
- (b) Lara Bryan has a large number of debtors. She keeps a Control Account in her General Ledger. On March 31 2009, she extracts the following information.

2009		\$
March 1	Sales ledger debit balance	5 030
March 1	Sales ledger credit balance	620
	Credit sales for the month	54 010
	Cash and cheques received	47 100
	Bad debts written off	2 570
	Discounts allowed	490
	Returns inwards	1 240
	Dishonoured cheques	980
	Interest due on overdue accounts	180

- (i) Prepare the Debtors Control Account for March 2009. **(6 marks)**
- (ii) State ONE reason why Lara Bryan prepares a Control Account for debtors. **(1 mark)**

Total 20 marks

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SECTION II

Answer any TWO questions in this section.

4. The Garrifruit Company started business in January, 2007 and made all sales on a credit basis. Being prudent, management decided to create a provision for bad debts of 2% of the year-end debtors. The debtors for the following three years were as follows:

December 31, 2007	\$25 000
December 31, 2008	\$27 500
December 31, 2009	\$22 500

- (a) Prepare the Provision for Bad Debts Account for the three years. (8 marks)
- (b) On examining the company's Rent Expense Account and the Commission Revenue Account for the year ending December 31, 2009 the following details were revealed:

<u>Rent Expense Account</u>		<u>Commission Revenue Account</u>	
Accrued rent December 31, 2008	\$2 500	Accrued commissions December 31, 2008	\$1 500
Rent paid by cheque:		Commissions received by cheque:	
May 31, 2009	\$6 000	January 31, 2009	\$7 000
November 30, 2009	\$9 500	June 30, 2009	\$7 000
Prepaid rent December 31, 2009	\$1 000	Accrued commission December 31, 2009	\$2 500

Using the above information prepare the following:

- (i) Rent Expense Account
- (ii) Commission Revenue Account.

Show clearly the amount to be transferred to the Income Statement. (10 marks)

- (c) Show the Classified Balance Sheet Extract at December 31, 2009 for the Prepaid Rent and Accrued Commission Revenue. (2 marks)

Total 20 marks

5. The community of Swains Spring operates a Chess Club for its senior citizens. The following is the Receipts and Payments Account for the year ended August 31, 2009.

**Swains Spring Chess Club
Receipts and Payments Account
For year ended August 31, 2009**

Receipts	\$	Payments	\$
Bank balance	3 000	Rent of community centre	2 400
Subscriptions	6 000	Purchase of refreshments	1 900
Tea Party	5 300	Expenses of Tea Party	2 000
Gifts	500	General expenses	1 700
Sale of refreshments	2 650	Bank balance	9 450
	<u>17 450</u>		<u>17 450</u>

Additional information provided is as follows:

	September 1, 2008	August 31, 2009
	\$	\$
Stock of refreshments	500	700
Subscriptions due	220	440
Subscriptions in advance	100	—
Rent paid in advance	—	200
Chess equipment (cost)	8 000	8 000

Chess equipment is to be depreciated at the rate of 10 % per annum.

Prepare the following:

- (a) A statement showing the Accumulated Fund at September 1, 2008 (5 marks)
- (b) A Subscriptions Account (4 marks)
- (c) A statement showing the profit or loss made on refreshments (4 marks)
- (d) An Income and Expenditure Account for the year ended August 31, 2009 (7 marks)

Total 20 marks

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6. (a) Define the following terms, giving ONE example of EACH.

(i) Statutory deductions

(ii) Voluntary deductions

(4 marks)

(b) Nalini Kalicharan's regular rate of pay is \$35 per hour for an eight-hour work day. Overtime is paid at a rate of time and a half for extra hours worked Monday to Friday. Double time is paid for hours worked on weekends and public holidays.

Below is Nalini's time card for the week ended April 15.

Sunday	Monday	Tuesday	Wednesday	Thursday	Friday Public Holiday	Saturday
1:00 p.m.- 4:00 p.m.	8:00 a.m.- 5:00 p.m.	8:00 a.m.- 4:00 p.m.	8:00 a.m.- 6:00 p.m.	8:00 a.m.- 4:00 p.m.	10:00 a.m.- 3:00 p.m.	12:00 p.m.- 4:00 p.m.

On the ANSWER SHEET provided, calculate Nalini's gross pay for the week.

(11 marks)

(c) Kevin Stuart earns a monthly gross salary of \$16 000.00. His monthly deductions are as follows.

National Insurance	—	2% of gross pay
Credit Union	—	\$1 000
Education Tax	—	1.5% of gross pay
Pension plan	—	\$500
Income Tax	—	20% after all other deductions

Calculate Kevin's monthly net pay. (Show your workings.)

(5 marks)

Total 20 marks

7. (a) (i) Identify TWO essential features of co-operatives. (2 marks)
- (ii) State TWO similarities between co-operatives and corporations (Limited Liability Companies). (2 marks)
- (b) The Silver Quays Fishermen's Co-operative Society began operation on January 1, 2009 with 200 members. Each member purchased 50 shares for \$20 each.
- Prepare the journal entry to show the 'start up' of the co-operative. (4 marks)
- (c) The Brighton Teachers Credit Union's share capital stands at \$300 000. Shares were sold to the members at \$3 each. The credit union's Trading and Profit and Loss Account (Income Statement) for year ended June 30, 2009 showed a surplus of \$70 000. Undistributed surplus brought forward from June 2008 was \$55 000.
- The total available surplus is to be shared in the following manner:
1. 20% to be transferred to Teachers' Education Development Fund
 2. 5% to be given as charitable donation to the School for the Hearing Impaired
 3. 30% to be transferred to Loan Fund
 4. 25% to be paid out as dividends to members
- (i) Prepare the Credit Union's Appropriation of Profits Account, for the year ended June 30, 2009. (6 marks)
- (ii) Calculate the dividend that was paid on EACH share. (Show your workings.) (3 marks)
- (iii) Calculate the Return on Capital Employed. (Show your workings.) (3 marks)

Total 20 marks

END OF TEST

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Paper 02 – General Proficiency

Answer Sheet for Question 6 (b)

Candidate No: _____

Centre No: _____

Nalini Kalicharan

	Regular Hours	Overtime Hours (Time and a Half)	Overtime Hours (Double Time)
Sunday			
Monday			
Tuesday			
Wednesday			
Thursday			
Friday			
Saturday			
Total			

Pay at regular hours **(show workings)** \$

Pay at overtime hours
(time and a half) **(show workings)** \$

Pay at overtime hours
(double time) **(show workings)** \$

Gross Pay \$